As the RBI noted in its 2018 Annual Report: 'Deposit growth slowed sharply after the post-Demonetisation bulge of the preceding half and also reflected the pronounced deceleration in domestic economic activity in Q1:2017–18… With the phase-out of restrictions on cash withdrawals and the gradual pick-up in currency demand, deposit growth started decelerating and reached its lowest level of 2.6 per cent on 8 December 2017.'[28]

Thus it is clear that demonetization had a significant negative impact on the aggregate Savings rate, though there was undoubtedly a greater formalization of financial savings, even though this may have been transient.

Impact on Investments

Let us now examine the data on investments to assess whether the higher formal 'financial savings' that resulted from the demonetization translated into higher investment. We can judge this through the actual numbers of projects and new investment proposals, as well as the investment (or the rate of Gross Capital Formation) to GDP ratio.

Entrepreneurs and business people make the decision to invest in new projects or to expand capacity based on their projections of future demand. If they are optimistic about selling more, and if their existing capacity is insufficient, they will go ahead and invest, thus adding to capital formation, the creation of new jobs, and, through this process, contribute to enhancing economic growth for the economy as a whole.

It's important to note that finance – both its availability and its cost of funds – is a necessary but not a sufficient condition to enhance investment levels. Even if plentiful finance is available at a very low cost, investments will not take place unless the business person believes that demand in the future will rise.

The confidence and optimism of business people and entrepreneurs is thus the critical element that drives investment and growth, and